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INDUSTRIAL COURT OF QUEENSLAND

*Training and Employment Act 2000* – s. 244 – appeal against decision of industrial commission

**Murrays Australia Ltd AND Training Recognition Council AND Others**  
(C35 of 2002)

PRESIDENT HALL

30 April 2002

DECISION

The appellant is a company under the Corporations Law. Since the nature of the business conducted by the appellant may yet become an issue before the Commission, I content myself with saying that amongst other things the appellant employs persons to drive buses.

On or about 7 November 2001 the appellant terminated the employment of 9 of the drivers of whom it then employed, viz Kerry Anthony, James Chandra, Robert Chandra, Timothy Kershaw, John Mizzi, Peter Proctor, Derek Scott, Randall Scovell and Diane Thompson. On or about 15 November 2001 the appellant terminated the employment of another of its drivers, viz, Robert McGowan. On or about 29 November 2001 the appellant was advised by telephone by the Department of Employment and Training that because each of the above named drivers had been employed as a trainee under the *Training and Employment Act 2000* approval of the Training Recognition Council was required before the training contract of any one of them might be

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terminated. On or about 11 December 2001 the appellant applied to the Training Recognition Council for permission to cancel the drivers training contracts on the basis of a change in the appellant's financial circumstances. That application was rejected on or about 21 December 2001. However, on 23 January 2002 the Training Recognition Council invited the appellant to apply for a review of its decision and to provide further information in support of the appellant's changed circumstances. On or about 25 January 2002 the appellant took up the opportunity to apply for a formal review of the earlier decision of the Training Recognition Council, and on or about 30 January 2002 provided further information to the Council in support of its claim that its financial circumstances had changed. On or about 8 February 2002 the Training and Recognition Council cancelled the training contracts of each of the above named drivers. The date of operation of the Council's decision was 11 February 2002. Each of the above named drivers has exercised the right of appeal to the Queensland Industrial Relations Commission made available by s. 230 of the *Training and Employment Act 2000*. The Commission has dealt with a number of interlocutory applications. This appeal, brought pursuant to s. 244 of the *Training and Employment Act 2000*, relates to an interlocutory decision of the Commission given on transcript on 17 April 2002 and to a Directions Order giving effect to that decision which was issued the same day. It is sufficient to reproduce the terms of the Direction Order. The Formal parts omitted, it was ordered that:—

- “ 1. Murrays Australia Limited, the Second Respondent, is to allow an inspection of time and wages records by the solicitor and/or counsel of the Appellants in respect of all drivers in its employ in the Gold Coast and Brisbane operations for the period commencing 1 July 2001 to the present.
2. The inspection is to be arranged at a mutually agreed time but, in any event, by no later than 12.00 noon on Tuesday 23 April 2002.

3. The Second Respondent is to provide copies of any 'Performance Review Forms' which it may have caused to be prepared, either in draft or completed form, in respect of any of the Appellants by no later than Tuesday 23 April 2002.”.

A decision of the Queensland Industrial Relations Commission to issue an order for discovery pursuant to s. 326(f) of the *Industrial Relations Act 1999* is a quintessential exercise of discretion. An appellate court should interfere only in the circumstances outlined in *House v The King* (1936) 55 CLR 499 at 504-505 per Dixon, Evatt and McTiernan JJ. Indeed, because the discretion exercised relates to a point of practice or procedure on an interlocutory application the restraint required of an appellate court is in truth, a little greater than the decision in *House v The King*, *ibid*, might suggest. In delivering the judgment of the Full Court of the Supreme Court of New South Wales in *Re: The Will of FB Gilbert* (DEC) (1946) 46 SR (NSW) 318 at 323, Sir Fredrick Jordan said:—

“ . . . I am of the opinion that, . . . there is a material difference between an exercise of discretion on a point or practice or procedure and an exercise of discretion which determines substantive rights. In the former class of case, if a tight rein were not kept upon interference with the orders of Judges of first instance, the result would be disastrous for the proper administration of justice. The disposal of cases could be delayed interminably, and the costs heaped up indefinitely, if a litigant with a long purse or a litigious disposition could, at will, in effect transfer all exercises of discretion in interlocutory applications from a Judge in Chambers to a Court of Appeal.”.

See also *Brambles Holding Limited v Trade Practices Commission* (1979) 28 ALR 191 at 193, *Dougherty v Chandler* (1946) 46 SR (NSW) 370 at 374 and *Adam P Brown Male Fashions Pty Ltd v Phillip Morris Incorporated* (1981) 148 CLR 171 at 177 per Gibbs CJ, Aickin, Wilson, and Brennan JJ.

There are however exceptions. In *QMP (sales) Agencies Pty Ltd v RW Buckley* (1996) 152 QGIG 1896 at 1897 de Jersey President said:

“There are exceptions. It is conceivable that an apparently wrong direction, which, if implemented, will likely have seriously consequences – such as a substantial waste of time or expense, or serious prejudice to the proper examination of the issues – should be reviewed as early as possible, perhaps even through interruption of the commission hearings. But I would see that as a most unusual and rare case.”.

Here, there is no suggestion of disrupting proceedings in the Commission. The complaint is that the observance of the Order will lead to time and expense being devoted to the investigation of entirely irrelevant issues.

As to the first of the Orders the complaint seems to me to be well founded.

There may yet be an issue in these proceedings about whether the critical date at which the appellant must be found to have been afflicted by a substantial change in circumstances which inhibited the appellant's capacity to perform its obligations under the training contract is the date of the decision of the Training Recognition Council or the date of operation of that decision. But whichever date be the correct date, events which occurred subsequently can have no relevance to the issue whether there had been a substantial change in the appellants circumstances at that date and no relevance to the issue whether the change had, at that date, affected the appellants capacity to perform its obligations under the training contracts. Some reliance has been placed on s. 232 of the *Training and Employment Act 2000*. Section 232 provides:—

“ (1) An appeal to the industrial commission is by way of rehearing on the record.

(2) However, the Commission may hear evidence afresh, or hear additional evidence, if the commission considers it appropriate to effectively dispose of the appeal.”.

In reliance on the decisions in *CDJ v BAJ* (1998) 197 CLR 172 at 202 [111] per McHugh, Gummow and Callinan JJ and *Allesch v Maunz* (2000) 203 CLR 172 at 181 [23] per Goudron, McHugh, Gummow and Hayne JJ it is submitted that the appeal must be determined on the basis of the law and of facts as they are at the time of the hearing of the appeal. I entirely agree but emphasise that “facts” means the “relevant facts”. If, for example, on the hearing of the appeal it emerged that there was available evidence not previously available and not discoverable by reasonable diligence going to events and transactions prior to the relevant date which reflected upon the appellant's financial circumstances at the relevant date, it would plainly be proper to take the evidence into account. But hindsight is not foresight and the circumstances that after the relevant date the appellants circumstances took a turn that only a tribunal of perverse mind would have anticipated at the relevant date is an entirely irrelevant matter. It may be, that access to the materials identified in the first of the Directions Orders would enable the representatives of the former trainees to attack the credibility of materials provided to the Training Recognition Council by the appellant or, alternatively, suggest a line of inquiry which would unearth materials upon which the credibility of the appellant might be put in issue. But orders for discovery should not be made for the purpose of enabling a party to attack credibility, see *Ballantine and Son Limited v F.E.R Dixon and Son Limited* [1974] 1 WLR 1125.

The appeal against the first of the Directions Orders is allowed. I notice that by its pleadings the appellant is prepared to accept an obligation to allow an inspection of time and wages records by the solicitor and/or counsel for the former trainees in respect of all drivers in its employ in its Gold Coast and Brisbane operations for a period commencing 1 July 2001 and expiring on 11 February 2002. However, it emerges from submissions that the appellant is prepared to do that without an order. I am not disposed to order parties to do that which they are prepared to do.

The appeal against the third order is another matter. I accept the submission of Mr Murdoch SC for the appellant that an order for discovery upon an appeal by way of rehearing on the record, in which appeal fresh evidence may be admitted only “if the Commission considers it appropriate to effectively

dispose of the appeal” is quite unusual. However, even discovery before suit is not unknown. In circumstances in which there is a paucity of authority upon whether the reference to an “appeal by way of rehearing” at s. 232(1) is to be treated in its technical sense, and in circumstances in which there is a paucity of authority on what materials constitute the record for the purposes of s. 232(1) it will be premature to hold that such an order, which is apparently within s. 326(f), may not be made.

The substantial case made by the appellant against the order is, once again, that the order seeks materials which are irrelevant. The answer is that each of the drivers whose training contract was terminated has lodged a separate appeal. In each appeal the pleadings indicate that the appeal is premised on the proposition that under s. 63 of the *Training and Employment Act 2000* the issue was whether the change in the appellant’s financial circumstances affected the appellant’s capacity to perform its obligations under the contract to the particular former trainees, i.e. each appeal is premised in the proposition and that it is not sufficient that the appellant’s change in financial circumstances mean that it cannot discharge its obligations under some but not all of the training contracts into which it had entered. The premise upon which each of the appeals has been brought may ultimately be shown to be misconceived. But whilst the pleadings are in their current form, I can see nothing in the Commission’s decision to issue the third Directions Order which would entitle an appellate court to set it aside.

The appeal against the third order is dismissed.

By the time the appeal was heard the date referred to in the third Directions Order had passed. In those circumstances, and by consent of the parties, on 24 April 2002 I order:

“Murrays Australia Limited is to provide copies of any ‘Performance Review Forms’ which may have caused to be prepared either in draft or in completed form in respect of any of the appellants by no later than 12 noon Friday 26 April 2002.”.

Dated 30 April 2002.

D.R. HALL, President

Released: 01 May 2002

*Appearances:* –

Mr J. Murdoch SC instructed by Blake Dawson Waldron for the appellant.

Mr A. Horneman-Wren instructed by Gadens Lawyers for the respondent.